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Case Number: 26TRCV00872 Hearing Date: September 22, 2026 Dept: P

Motion to Disqualify Counsel

Moving Party: Defendant Costco Wholesale Corporation, erroneously sued as Costco Wholesale Membership, Inc.

Responding Party: Plaintiff Rosa Argueta

RULING

The court considered the moving papers, opposition, and reply. Costco's Motion to Disqualify Counsel is DENIED.

PROCEDURAL BACKGROUND

On March 10, 2026, Plaintiff Rosa Argueta ("Plaintiff") filed a complaint against Defendants Costco Wholesale Corporation ("Costco"), Costco Wholesale Membership, Inc., DOE 1 (Manager), and DOES 2 through 50, inclusive, alleging two causes of action for: (1) General Negligence; and (2) Premises Liability.

On August 18, 2026, Costco filed the instant motion. On September 3, 2026, Plaintiff filed an opposition. On September 15, 2026, Costco filed a reply.

FACTUAL BACKGROUND

Plaintiff alleges that on March 15, 2024, she was on the premises of Costco located in Inglewood, California, when she was struck by an electric mobility cart operated by an unidentified customer while Plaintiff was waiting in line near the checkout register. (Complaint, p. 6.) Plaintiff alleges that she sustained serious injuries and damages as a result of the incident. (Complaint, p. 6.)

LEGAL STANDARD

"A trial court's authority to disqualify an attorney derives from its inherent power, codified at Code of Civil Procedure section 128, subdivision. (a)(5), to control the conduct of its ministerial officers and of all other persons connected with its proceedings in furtherance of justice. [Citation.] Disqualification may be ordered as a prophylactic measure against a

prospective ethical violation likely to have a substantial continuing effect on future proceedings. [Citations.]". (Doe v. Yim. (2020) 55 Cal.App.5th 573, 581.)

Whether an attorney should be disqualified is a matter addressed to the sound discretion of the trial court. (Henriksen v. Great Am. Sav. & Loan (1992) 11 Cal.App.4th 109, 113.) In exercising that discretion, the trial court is required to make a reasoned judgment which complies with the legal principles and policies applicable to the issue at hand. (Ibid.) However, a non-client without a "legally cognizable interest" to disqualify opposing counsel lacks standing to disqualify opposing counsel. (Great Lakes Construction, Inc. v. Burman (2010) 186 Cal.App.4th 1347, 1354.) "Generally, before the disqualification of an attorney is proper, the complaining party must have or must have had an attorney-client relationship with that attorney." (Id. at 1356.)

DISCUSSION

Moving Party's Argument

Costco seeks to disqualify attorney Anthony Werbin ("Werbin") and Downtown LA Law Group ("DTLA Law Group") as Plaintiff's counsel in this matter on the grounds that Werbin is Costco's former counsel and DTLA Law Group is Werbin's current employer and is thus vicariously disqualified from representing Plaintiff in this matter. Costco states that Werbin was previously counsel for Costco in 21 cases between July 5, 2017 through January 16, 2020, and became familiarized with Costco's proprietary information and defense strategies. Costco refers to decisions in which courts disqualified Werbin from representing plaintiffs in matters adverse to Costco. Costco argues that DTLA Law Group has pursued at least 14 cases against Costco from 2021 through 2025 in which courts disqualified DTLA Law Group from serving as the plaintiffs' counsel.

Opposing Party's Argument

Plaintiff argues that approximately six years and seven months have passed since Werbin's representation of Costco, and thus it is likely that Costco's defense strategies have since evolved. Plaintiff argues that Costco has failed to explain how Werbin's prior handling of personal injury and premises liability matters for Costco has exposed DTLA Law Group to confidential information that would be material to this matter, and thus Costco has not established the requisite substantial relationship. Plaintiff argues that Werbin is not assigned as counsel on this case, has never been assigned as counsel on this case, and has no access to any documents or information related to this matter. Plaintiff argues that DTLA Law Group has established an effective ethical wall because its software prevents Werbin from accessing any of the cases with Costco as a party, and DTLA Law Group is not a small firm and thus the ethical wall is feasible as DTLA Law Group manages its cases by dividing into teams. Plaintiff argues that a clerical error occurred when Werbin's electronic signature was mistakenly added to a complaint against Costco while Werbin had never been assigned to or had access to the case. Plaintiff further contends that courts have routinely denied Costco's motions to disqualify.

Reply Argument

Costco argues that Werbin's prior representation of Costco is substantially related to this litigation because Werbin represented Costco in 21 personal injury cases over a span of three years, and was lead counsel. Costco argues that Werbin was closely familiarized with Costco's defenses against personal injury plaintiffs alleging claims for negligence and premises liability. Next, Costco argues that Plaintiff has failed to rebut the presumption of vicarious disqualification, because multiple courts have previously disqualified DTLA Law Group under similar circumstances and the declarations filed by Plaintiff fail to state sufficient facts regarding the details of the ethical wall Plaintiff contends is in place and when the ethical measures were implemented. Costco further argues that the declarations acknowledge a delay in time between Werbin joining DTLA Law Group and DTLA Law Group's software change. Finally, Costco argues that disqualification is justified in order to prevent the appearance of impropriety and the potential for inadvertent disclosure, and because the instant litigation is in its early stages.

Request for Judicial Notice

Costco requests that the court take judicial notice of the following court records:

1. Order of the Superior Court of California, County of Los Angeles, dated October 25, 2021 in Cochran v. Costco Wholesale Corporation, Case No. BC708124;
2. Order of the Superior Court of California, County of Los Angeles, dated February 8, 2023 in Rodas v. Costco Wholesale Corporation, Case No. 20STCV30503;
3. Order of the Superior Court of California, County of Los Angeles, dated February 21, 2023 in Navarro v. Costco Wholesale Corporation, et al., Case No. 21STCV03573;
4. Order of the United States District Court for the Southern District of California, dated April 2, 2024 in Tran v. Costco Wholesale Corporation, et al., Case No. 3:23-cv-02057-GPC-BLM;
5. Copy of Complaint dated July 2, 2024 in Grimes v. Costco Wholesale Corporation, Superior Court of California, County of San Bernardino, Case No. CIVSB2420703;
6. Adopted Tentative Ruling of the Superior Court of California, County of Santa Clara, in Uribe v. Costco Wholesale Corp., et al., Case No. 23CV413550
7. Order of the United States District Court for the Central District of California, dated August 10, 2021 in Zapon v. Costco Wholesale Corporation, Case No. 2:20-cv-11415-ODW (RAOx);
8. Order of the Superior Court of California, County of Alameda, dated March 10, 2022, in White-Martinez v. Costco Wholesale Corporation, Case No. HG21106733;
9. Order of the United States District Court for the Central District of California, dated July 27, 2022 in Vaxmonsky v. Costco Wholesale Corporation, et al., Case No. 8:22-cv-00098-JVS-DFM;
10. Adopted Tentative Order of the Superior Court of California, County of Los Angeles, dated September 20, 2022 in Vargas-Diaz v. Costco Wholesale Corporation, et al., Case No. 21STCV39856;
11. Order of the United States District Court for the Northern District of California, dated September 23, 2022 in Sierra v. Costco Wholesale Corporation, Case No. 4:22-cv-01444-JSW;
12. Order of the United States District Court for the Central District of California, dated April 20, 2023 in Reid v. Costco Wholesale Corporation, et al., Case No. 8:23-cv-00255-FWS-JDE;
13. Order of the United States District Court for the Central District of California, dated June 6, 2023 in Reid v. Costco Wholesale Corporation, et al., Case No. 8:23-cv-00255-FWS-JDE;
14. Minute Order of the Superior Court of California, County of San Joaquin, dated June 6, 2024 in Penamente v. Costco Wholesale Corporation, et al., Case No. STK-CV-UPI-2023-0003876;

15. Minute Order of the Superior Court of California, County of San Bernardino, dated November 5, 2024, in *Grimes v. Costco Wholesale Corporation, et al.*; and

16. Adopted Tentative Ruling of the Superior Court of California, County of Contra Costa, in *Press v. Costco Wholesale Corporation*, Case No. C24-03001.

Pursuant to Evidence Code Section 452(d), the court may take judicial notice of court records. Accordingly, Costco's request for judicial notice is GRANTED in its entirety.

Merits of the Motion

Costco moves for a court order disqualifying attorney Anthony Werbin ("Werbin") and Downtown LA Law Group ("DTLA Law Group") as Plaintiff's counsel. Costco argues that Werbin formerly represented Costco before joining DTLA Law Group and possesses confidential information regarding Costco's "premises liability policies, employee training, hazard mitigation procedures, and litigation strategy in defending personal injury claims." (Mot. 13:23-26.) Costco argues that Werbin's knowledge is imputed to all members of DTLA Law Group and thus the general rule of vicarious disqualification applies.

In opposition, Plaintiff argues that disqualification is not warranted because Werbin is not assigned as counsel on this case, has never been assigned as counsel on this case, and has no access to documents or information pertaining to this matter, and thus a substantial relationship does not exist.

"In order to disqualify the attorney, the former client must show that the subjects of the successive representations are substantially related. [Citation.] A substantial relationship exists where 'the attorney had a direct professional relationship with the former client in which the attorney personally provided legal advice and services on a legal issue that is closely related to the legal issue in the present representation. [Citation.] If the former representation involved such a direct relationship with the client, the former client need not prove that the attorney possesses actual confidential information. [Citation.]" [Citation.] The attorney is conclusively presumed to possess confidential information 'if the subject of the prior representation put the attorney in a position in which confidences material to the current representation would normally have been imparted to counsel.' [Citations.]" (*Khani v. Ford Motor Co.* (2013) 215 Cal.App.4th 916, 920.)

Disqualification of the attorney from representing the second client is mandatory where the substantial relationship test is met and access to confidential information is presumed. (*Flatt v. Superior Court* (1994) 9 Cal.4th 275, 283.)

"[A] 'substantial relationship' exists whenever the 'subjects' of the prior and the current representations are linked in some rational manner." (*Jessen v. Hartford Casualty Ins. Co.* (2003) 111 Cal.App.4th 698, 711.) The "subject" of a representation includes "information material to the evaluation, prosecution, settlement or accomplishment of the litigation or transaction given its specific legal and factual issues." (Id. at 712-13.) "[S]uccessive representations will be 'substantially related' when the evidence before the trial court supports a rational conclusion that information material to the evaluation, prosecution, settlement or accomplishment of the former representation given its factual and legal issues is also material to the evaluation, prosecution, settlement or accomplishment of the current representation given its factual and legal issues." (Id. at 713.) However, "[m]ere exposure to an adversary's confidences is insufficient, standing alone, to warrant an attorney's disqualification. The critical question in each case is whether there is a reasonable probability the attorney obtained privileged information which the court believes would likely be used advantageously against an adverse party during the course of the litigation." (*Guardian Storage Centers, LLC v. Simpson* (2026) 119 Cal. App. 5th 509, 520-21 (internal citations and quotes omitted).)

Here, Leigh Ann Ruijters ("Ruijters"), a Complex Claims Specialist for Costco, declares that Werbin represented Costco in 21 cases from July 5, 2017 to January 16, 2020 while employed by Manning & Kass, Ellrod, Ramirez, Trester LLP. (Ruijters Decl., ¶¶ 1, 9.) Ruijters declares that Werbin's "representation of Costco involved matters relating to personal injuries, including, but not limited to, premises liability cases." (Ruijters Decl., ¶ 10.) Ruijters declares that while Werbin served as Costco's counsel he "was lead counsel and handled virtually every aspect of Costco's files, including but not limited to

developing strategy, communicating with Costco employees as well as its claims administrator Gallagher Bassett, reviewing confidential and privileged documents, preparing responses to discovery, preparing witnesses to testify at depositions, defending numerous depositions of Costco employees, and developing litigation strategy.” (Ruijters Decl., ¶ 12.) Ruijters further declares that while serving as Costco’s counsel, Werbin “was privy to Costco’s pre-litigation strategies, case handling procedures, attorney-client communications, confidential and proprietary information concerning Costco’s operations, confidential client documentation, policies and procedures, and trade secrets.” (Ruijters Decl., ¶ 13.) Ruijters also declares that on March 19, 2019, Werbin was an “active participant” in a day-long California Defense Counsel Conference that Costco held for its panel of defense attorneys in California to “discuss California litigation, convey information, and share defense tools and strategies among its defense counsel.” (Ruijters Decl., ¶ 14.) Ruijters declares that after the conference, Werbin “sent an email to other attendees sharing his thoughts on defense strategy.” (Ruijters Decl., ¶ 14.) Ruijters declares that the group in attendance at the conference was a “select” subset of lawyers who worked on California cases for Costco. (Ruijters Decl., ¶ 15.) Ruijters declares that Werbin billed a total of 1,195 hours of time working on Costco matters between 2017 and 2020. (Ruijters Decl., ¶ 16.)

The court finds that Costco’s evidence is sufficient to satisfy the “substantial relationship” test, by showing that Werbin has previously handled premises liability cases for Costco and was closely familiar with Costco’s defense strategies, and thus it can be presumed that Werbin gained confidential information from his previous representations of Costco that would be material to litigating the current matter and would unfairly advantage Plaintiff.

In opposition, Werbin declares that he has never represented Costco in the instant matter. (Werbin Decl., ¶ 14.) While the court finds that Werbin would otherwise be disqualified from representing Plaintiff in this matter, it next turns to discuss whether DTLA Law Group should be disqualified from representing Plaintiff in this matter.

“[W]hether disqualification of the entire firm is automatic is an open question.” (California Self-Insurers’ Security Fund v. Superior Court (2018) 19 Cal.App.5th 1065, 1077.) The court in Kirk v. First American Title Ins. Co observed that vicarious disqualification is the general rule and courts should presume that knowledge is imputed to all members of a tainted attorney’s law firm, but noted that, “in the proper circumstances, the presumption is a rebuttable one, which can be refuted by evidence that ethical screening will effectively prevent the sharing of confidences in a particular case.” (Kirk v. First American Title Ins. Co. (2010) 183 Cal.App.4th 776, 801.)

Therefore, the presumption is that Werbin’s knowledge is imputed to all members of DTLA Law Group and the general rule of vicarious disqualification would apply unless Plaintiff can refute the presumption.

Plaintiff argues that the presumption is rebuttable because DTLA Law Group’s ethical wall is effective. Aram Harutyunian (“Harutyunian”), an associate attorney of DTLA Law Group, declares that Werbin “has not, and has never been, assigned to work on any aspect of this matter as part of his employment with DTLA,” and “has absolutely no access to any documents or information related to his matter, never has under any circumstances, and will not derive any profits from DTLA’s representation of the Plaintiff in this case.” (Harutyunian Decl., ¶ 4.) Harutyunian further declares that in December 2021, DTLA Law Group implemented a change to its software and file management system which bars any attorney from accessing a case that they were not assigned to, which includes a firewall against Werbin, barring him from accessing any cases involving Costco as a party. (Harutyunian Decl., ¶ 6.) Harutyunian declares that this software was implemented approximately two years before DTLA Law Group’s retention of Plaintiff in this matter. (Harutyunian Decl., ¶ 6.)

Next, Harutyunian declares that “it is a well-known firm policy that no cases involving [Costco] are assigned or discussed with Mr. Werbin.” (Harutyunian Decl., ¶ 7.) Harutyunian declares that DTLA Law Group has over 45 attorneys and 160 employees, and thus its ethical wall is feasible and well-established. (Harutyunian Decl., ¶ 8.) Harutyunian further declares that DTLA Law Group manages its cases by dividing into teams, each with its own set of attorneys, paralegals, and office staff, with neither cases, case files, nor team members shared between the teams. (Harutyunian Decl., ¶ 9.) Thus, Werbin is barred from accessing any cases involving Costco and “would never even have knowledge of or be advised about such cases.” (Harutyunian Decl., ¶ 9.)

Plaintiff also offers the declaration of Amira Rezkallah (“Rezkallah”), the Human Resources Manager and Administrative Director at DTLA Law Group, who declares that while Werbin was never assigned to Elizabeth Grimes vs. Costco Wholesale

Corporation Case No. CIVSB2420703 ("Grimes") and did not have access to the case, the administrative employee responsible for finalizing and filing summons and complaints for all cases of DTLA Law Group "inadvertently and carelessly mixed up" the two complaints of Grimes and Michael Schuman vs. Sedigheh Ghaiemy-Mahdavy, et al, Case No. 24VECV03138, the case Werbin was assigned to and was filed on the same day. (Rezkallah Decl., ¶¶ 2-6.) Rezkallah declares that the administrative employee "mixed the two complaints and inadvertently added Anthony Werbin's information and electronic signature" on the Grimes complaint. (Rezkallah Decl., ¶ 7.) Rezkallah further declares that upon shifting to the FileVine software in December 2021, "only those with administrative roles at the firm and those who have been assigned to a case are able to view files associated with a case." (Rezkallah Decl., ¶ 12.)

The court finds that Plaintiff has presented sufficient evidence to rebut the presumption of vicarious disqualification in this case, as DTLA Law Group is not a small firm, which consists of more than 45 attorneys. (Harutyunian Decl., ¶ 12.)

"The typical elements of an ethical wall are: (1) physical, geographic, and departmental separation of attorneys; (2) prohibitions against and sanctions for discussing confidential matters; (3) established rules and procedures preventing access to confidential information and files; (4) procedures preventing a disqualified attorney from sharing in the profits from the representation; and (5) continuing education in professional responsibility." (Henriksen v. Great American Savings & Loan (1992) 11 Cal. App. 4th 109, 116 n.6.) Here, Harutyunian declares that "DTLA manages its cases by dividing into various teams, each with its own set of attorneys, paralegals, and office staff. Neither cases, case files, nor team members are shared between these teams. Accordingly, not only is Mr. Werbin prevented from accessing any cases involving Defendant, but he would never even have knowledge of or be advised about such cases." (Harutyunian Decl., ¶ 9.)

The "paramount concern" in evaluating a motion to disqualify counsel "must be to preserve public trust in the scrupulous administration of justice and the integrity of the bar." (Jarvis v. Jarvis (2019) 33 Cal.App.5th 113, 139.) The court finds that Downtown LA Law Group has sufficiently established that Werbin is walled from his former client such that any information he has would not be used against it, therefore the court finds that the disqualification of DTLA Law Group is unwarranted here.

Accordingly, Costco's Motion to Disqualify Counsel is DENIED.

CONCLUSION

Based on the foregoing, Costco's Motion to Disqualify Counsel is DENIED.

Moving party is ordered to give notice of ruling.